EXECUTIVE SUMMARY

1. Introduction

The Municipality of Pamplona, Cagayan was created by ecclesiastics and was named Pamplona in 1884 by Vicar Montenegro in memory of his hometown in Spain. It is a fourth class Municipality and situated in the northeastern coast of the Province of Cagayan with an area of 17,176 hectares.

Scope of Audit

The audit covered the accounts and operations of the Municipal Government of Pamplona, Cagayan for the year 2014 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Pamplona for the year ended December 31, 2014, with comparative figures for CY 2013, are as follows:

	2014	2013	Increase (Decrease)
Financial Condition			
Total Assets	P 168,936,694.98	P 151,663,924.49	P 17,272,770.49
Total Liabilities	20,971,748.79	37,799,459.45	(16,827,710.66)
Total Government Equity	117,248,980.69	113,864,465.04	3,384,515.65
Results of Operation			
Total Income	P 65,874,919.57	P 59,121,244.97	P 6,753,674.60
Total Expenses	45,437,888.63	45,927,123.85	(489,235.22)
Appropriations, Allotments and Obligations			
Appropriations	P 108,960,870.97	P 102,744,386.93	P 6,216,484.04
Allotments	108,960,870.97	102,744,386.93	6,216,484.04
Obligations	58,742,547.16	53,769,788.88	4,972,758.28

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

	2014	2013	Increase/(Decrease)
Fund Transferred to Other Agencies:			
Due from NGAs	0.00	0.00	0.00
Due from GOCCs	0.00	0.00	0.00
Due from LGUs	0.00	0.00	0.00
Due from NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
TOTAL	0.00	0.00	0.00
Fund Received from Other Agencies:			
Due to Other NGAs	P 8,179,010.50	P 2,668,363.00	P 5,510,647.50
Due to LGUs	0.00	1,000,000.00	(1,000,000.00)
Due to NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
TOTAL	**P 8,179,010.50**	**P 3,668,363.00**	**P 4,510,647.50**

Operational Highlights

Major Activities/Programs/Projects	***Target***	***Accomplishments***	***% of Accomplishments***
1 Construction of Day Care Center (Abbangkeruan)	P 200,000.00	P 200,000.00	100%
2 Installation of Street Lights (Nagattatan)	200,000.00	200,000.00	100%
3 Installation of Street Lights (Sta. Cruz)	200,000.00	200,000.00	100%
4 Construction of Productivity Enhancement Centers (Allasitan, Tabba, Nagtupacan, Capalalian)	800,000.00	800,000.00	100%
5 Construction of Solar Dryer (Gattu)	200,000.00	200,000.00	100%
6 Construction of Box Culvert (Balingit)	200,000.00	200,000.00	100%
7 Construction of Farm to Market Roads (Bidduang, Bagu)	400,000.00	400,000.00	100%
8 Purchase of ambulance	1,839,501.00	1,829,501.00	100%

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the presentation of the financial statements of the Municipality of Pamplona, Cagayan as of December 31, 2014 due to (a) RPT/SET Receivables amounting to P30,715,955.50 could not be ascertained for lack of certified list of taxpayers and subsidiary ledgers indicating the corresponding amount due and collectibles and (b) the recorded balances of Property, Plant and Equipment (PPE) with a total value of P53,417,694.63 were doubtful due to the failure to complete the physical count and reconcile the same with the books.

4. Summary of Significant Findings and Recommendations

The audit team noted the following audit observations with its recommendations to improve the performance and financial operations of the municipality;

1. **The cash in vault balance of P675,937.42 as of December 31, 2014,represents collections not deposited with the authorized depository bank contrary to Section 28 of COA Circular 92-382 dated July 3, 1992 and Section 32 of COA Circular 2002-003 dated June 20, 2002 thus, exposing said funds to loss or misappropriation.**

   Further, Collectors do not turn over their collections daily to the Municipal Treasurer contrary to Section 26 of COA Circular No. 92-382 dated July 3, 1992 and Section 32 of COA Circular No. 2002-003 dated June 20, 2002, thereby exposing such collections to the risk of loss and/or misuse.

   We recommend that the Municipal Treasurer deposit intact all his collections as well as collections turned over to him by the collectors with the authorized depository bank daily or not later than the next banking day pursuant to Sec. 28 of COA Circular 92-382 dated July 3, 1992 and Section 32 of COA Circular 2002-003 dated June 20, 2002. Likewise, the Municipal Treasurer is prohibited from using his collections to grant vales and IOUs to officials and employees for personal as well as for payment of transactions.

   Lastly, we recommend that the Local Chief Executive require all Collectors to remit their collections daily, promptly and intact to the Municipal Treasurer.

2. **The validity and reliability of the established Real Property Tax and Special Education Tax Receivables totaling P30,715,955.50 could not be ascertained due to the lack of certified list of taxpayers, indicating the corresponding amount due and collectible and the subsidiary ledgers, contrary to Section 20, Volume I of the New Government Accounting System (NGAS).**

   We recommend that management direct the concerned officials to:

1. Comply strictly with the provision of Section 20, Volume I of the NGAS (for LGUs) regarding the basis of recording RPT/SET Receivable;

2. Prepare certified list of taxpayers based on the Assessment Roll prepared by the Municipal Assessor and;

3. Maintain subsidiary ledger for each taxpayer.

3. **The validity and correctness of Other Receivables amounting to P 869,425.62 which have been outstanding for several years, could not be ascertained due to the absence of pertinent records or documents to substantiate them contrary to Section 2 and 111(2) of P. D. 1445.**

   We recommend that concerned officials exert efforts to document the dormant receivables of P869,425.62 to establish the validity and propriety of the account and issue/send demand letters, if warranted, to enforce collection.

4. **The physical existence and condition of the Property, Plant and Equipment, as well as correctness and validity of the account valued to P53,417,694.63 (net of depreciation) as of December 31, 2014 could not be ascertained due to the failure of management to conduct physical inventory and the lack of property documents/records, contrary to Section 119-124 of the New Government Accounting System (NGAS) Manual.**

   We reiterate our previous year's audit recommendations in order to ascertain the validity, existence, and correctness of the account balance of the Property, Plant and Equipment as presented in the financial statements, as follows:

   1. The Local Chief Executive to create an Inventory Committee to conduct the required physical inventory of all properties;
   2. Prepare and submit to the auditor concerned the required Report of the Physical Count on Property, Plant and Equipment (RPCPPE) not later than January 31 of each year;
   3. The Municipal Accountant and the General Services Officer to maintain Property Ledger Cards and;
   4. The Municipal Accountant to adjust any discrepancies noted in the conduct of the physical inventory.

5. **Funds totaling P3,300,000.00 which were transferred to various barangays for various purposes were taken up in the books of the Municipality as Donations (878) instead of Due From LGUs (138), thus, exempting them from their duties and responsibilities of ensuring that the accounting and reporting of the fund was properly done and that the implementation of the projects are within the approved programs of the Municipality. It also denied the Municipality to be informed of whether the funds were utilized as**

intended due to failure to establish proper accountability contrary to COA Circular No. 94-013 dated December 13, 1994 and 2004-008 dated September 20, 2004.

We recommended that the transfers to the various government agencies totaling P3,300,000.00 be taken up under the Receivables account Due from LGUs to establish accountability and responsibility over the funds transferred. This will also ensure that the transfers are properly taken up in the books of both agencies and that the funds are used as intended to promote transparency and accountability.

5. Summary of Total Suspensions, Disallowances and Charges as of year-end

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	
Current Year	0.00	0.00	0.00	0.00	
Total	0.00	0.00	0.00	0.00	
Disallowances					
Prior Years	0.00	0.00	0.00	0.00	
Current Year	0.00	0.00	0.00	0.00	
Total	0.00	0.00	0.00	0.00	
Charges					
Prior Years	0.00	0.00	0.00	0.00	
Current Year	0.00	0.00	0.00	0.00	
Total	0.00	0.00	0.00	0.00	

6. Status of Implementations of Prior Years' Audit Recommendations

Out of twelve (12) audit recommendations in 2013 Annual Audit Report (AAR), two (2) were fully implemented, five (5) were partially implemented, and five (5) were not implemented.

The Status of Implementation of Prior Year's Audit Recommendations is shown in Part III of this report.